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BS BA (4A)

Business Finance

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Case Study

1. Evaluate the different options and give Recommendations to the CEO

⇒ Borrowing and Buying Option:

The company will own the machinery, but the interest rate is high. It is good option for long-term growth and stability.

⇒ Leasing Option:

This is better for managing short-term cash flow, but the company will not own the machinery in the end.

⇒ Recommendations:

If Bright soap wants long-term growth, buying the machinery is better. However, if they have cash flow issues, leasing is a safer option.

2. Relevant Theories or frameworks:

08

⇒ Diversification Theory:

The company should expand its product line and start producing detergent powder to compete in the market.

⇒ Porter's Five forces:

This framework helps understand market competition, supplier power, and customer preferences.

0.6

3. Types of Lease Options available:

⇒ Finance Leases: A long term lease where the company may get ownership of the machinery after the lease period.

⇒ Operating Leases

A short-term lease where the machinery remains the property of the lease provider.

⇒ Recommendations:

give more text related answers.

A finance lease is better because it allows the company to eventually own the machinery.

4. Disclosure Requirements According to IAS 17:

0.6

⇒ If the company chooses leasing, it must report lease payments as liabilities and assets in financial statements.

⇒ If they choose borrowing, they must report interest and depreciation costs.

presentation to balance sheet?

5. Marketing Strategy:

add more points.

0.5

still widely used.

⇒ Introduce low cost packaging and bulk selling options.

⇒ Increase advertising on digital platforms and TV.

6. Lowering Price to retain Market share:

0.5

⇒ Cost cutting:

Improve production efficiency and reduce waste.

⇒ Economies of Scale:

Produce in larger quantities to

reduce the cost per unit.

0.2

7. ⇒ Use technology to reduce labor costs and only lay-off if there are no other cost-saving options left.



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Assignment Business Finance

Submitted to Muhammad Akhtar

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Q2.

How can Diversification Help?

question focused on alternative frameworks

Ans.

Diversification means not depending on one product.

1. Bright soap can start making detergent powder while continuing soap production.
2. This will help capture both rural (soap) and urban (detergent) markets.

Example: Like Pepsi Co Sells Pepsi and lays.

Q_{NO3}

Lease Options Available?

answer should be text related and not general definition.

1. Operating Lease: Short-term, no ownership, recorded as expense.
2. Finance Lease: Long term, leads to ownership, recorded as an asset.

buying and borrowing?

Q_{NO4}.

How to report in Financial Statements?

1. If buying: Machinery is recorded as an asset and depreciated over time.
2. If leasing: Lease payments recorded as expenses.

Finance lease: Machinery recorded as an asset, lease payments as liability.

operating lease?

presentation of balance sheet?

Q. NO. 5.

market niche?
distribution network?

Marketing Strategy to Improve Business?

Ans.

1. Focus on Rural Markets: Many People still use Soap instead of detergent.
2. Product Innovation: Introduce anti-bacterial and scented soap.
3. Promotions and Discount: Offer deals like "Buy 3, Get 1 Free".
4. Increase Availability: Partner with local retailers to sell more.

Q. NO. 6.

Lowering Prices to Keep Market Share

1. Buy raw materials in bulk to reduce costs.
2. Improve Production efficiency to save time and resources.
3. Offer Small, cheaper packs to attract low-income customers.

bright soap as auxiliary product?

Q. NO. 7 Should company Layoff Workers?

lease machinery to produce detergents?

No, This should be the last Option.

Instead:

1. Train workers to make both soap and detergent.
2. Reduce work hours instead of firing employees.
3. Cut unnecessary costs (like admin expenses) before layoffs.

focus on why layoffs are not an appropriate solution.